

Apollo Commercial Real Estate (ARI): The Liquidating CRE Stub

ARI has entered an approved Plan of Liquidation following the \$9B performing loan transfer to Athene. At **\$6.90 spot price**, shareholders are scheduled to receive an **initial cash distribution of \$3.70 to \$4.00 per share within ~30 days of the September 29, 2026 vote** (returning ~56% of purchase price in immediate cash).

The entire investment thesis hinges on the value of the remaining stub (\$3.05 residual cost basis): 74% of the stub equity is tied to a single **\$662M Brooklyn multifamily development** carried at accumulated construction cost rather than an appraised market mark.

INITIAL CASH RETURN

\$3.70 – \$4.00 Cash

~56% cash return post-Sept 29 vote

RESIDUAL STUB BASIS

\$2.90 – \$3.20 / Share

Against \$3.79 net book value

ADJUDICATED VERDICT

FLAT (Price Gate ≤ \$6.35)

Fair value at \$6.90; entry live at ≤\$6.35

The Liquidation Bridge: Cash Distribution vs. Remaining Stub

LIQUIDATION COMPONENT	PER SHARE VALUE	% OF CURRENT PRICE	STATUS & RISK PROFILE
Initial Cash Distribution	\$3.85 (Midpoint)	55.8%	LOCKED Funded by \$1.24B cash on balance sheet; payable ~Oct 2026.
Residual Cost Basis Paid	\$3.05	44.2%	What an investor effectively pays for the remaining real estate stub.
Stated Net Book Value of Stub	\$3.79	54.9%	Optical +24% upside if all four residual REO properties liquidate at carry.

The Core Issue: The optical +24% discount to book value disappears once you realize that the \$662M Brooklyn asset is carried at cost, not an appraisal.

The Brooklyn REO Reality: Development Cost vs. Market Cap Rate

Our court audited the \$662M Brooklyn multifamily asset note in the 10-Q and uncovered the decisive valuation kill:

METRIC	DISCLOSED REALITY	IMPLIED MARKET VALUATION
Acquisition Basis	Deed-in-lieu in August 2022 at \$270.1M land value.	Initial distressed baseline.
Accumulated Construction Spend	+\$391.9M capitalized development costs.	Carried at cost under undiscounted impairment test.
Property-Level Net Operating Income	\$0.5M quarterly NOI (\$2.0M annual run-rate)	Lease-up stage; cannot support \$662M valuation.
Multifamily Cap Rate Reality	At a 5.0% NYC market cap rate, a \$662M valuation requires \$33.1M in stabilized annual NOI.	The \$662M carrying value carries an embedded 20–30% write-down risk to reach market equilibrium.

ADJUDICATED DISPOSITION

Adjudicated Disposition & Price Gate

Final Court Ruling: `FLAT / NO POSITION at \$6.90`. The current price is fair (RP_FAIR), embedding appropriate illiquidity and Brooklyn cost-vs-value discounts.

ACTION TRIGGER	PRICE / CONDITION	EXECUTION MANDATE
Price Gate for Entry	Spot Price $\leq$ \$6.35 (Stub Basis $\leq$ \$2.50)	Initiate a 1.0% STARTER position pre-vote to capture high-margin liquidation spread.
Mandatory Exit Rule	Prior to Non-Transferable Trust Transfer	Liquidate position on open market upon board announcement of final delisting date.